

Small Change

MINISTRY OF AGRO AND RURAL INDUSTRIES AND SMALL SCALE INDUSTRIES

Staff: **2,934**

Wages and allowances: **Rs 45.38 crore**

Total plan and non-plan expenditure: **Rs 1,785.04 crore**

RATIONALE: To design policies and schemes and monitor their implementation for the growth of small and micro enterprises; oversee promotion of traditional, village and khadi enterprises.

REALITY CHECK: The small scale sector is an enclave created to encourage entrepreneurship and employment via tax arbitrage. Be that as it may, the presence of a ministry for SSI or creation of one for agro industry has done little for the sectors.

In September 2001, the Ministry of Agro and Rural Industries was created in recognition of the fact that long-term growth depends on tapping the potential of the farm sector. What would this ministry do that those

of agriculture, rural development, Panchayati Raj or food processing are not doing? On the face of it, it would generate employment in rural areas, develop entrepreneurial skill, achieve rural industrialisation and facilitate credit. Now isn't that what is being done by the National Rural Employment Guarantee Scheme, six Centrally sponsored schemes on self employment and the Finance Ministry?

Rural industry is promoted by the Rural Employment Generation Programme (REGP) through the Khadi and Village Industries Commission and the Pradhan Mantri Rojgar Yojana (PMRY), instead of being run by the Ministry for Rural

Development. Assistance to rural entrepreneurs under REGP has gone up from Rs 265 crore to Rs 320 crore. Under PMRY, the states could use only Rs 16.82 crore out of the Rs 20.48 crore released in 2005-06. The picture is not very different in the more SSI sector, which accounts for 39 per cent of the manufacturing output and 34 per cent of exports, delivering Rs 4,76,201 crore to the GDP. In what can only happen in India, the ministry has revealed to Parliament that of the 123 lakh units, over 104 lakh units are unregistered. And despite the ministry's efforts, net bank credit has gone down from 17.5 per cent to 8.1 per cent. With such a track record, the two ministries deserve to be shut down post-haste. In a modern economy, it is size that delivers economies and market share.



Fossilled in Time

MINISTRY OF COAL

Staff: **437**

Wages and allowances: **Rs 6.99 crore**

Total plan and non-plan expenditure: **Rs 288 crore**

RATIONALE: To determine policies and strategies for exploration and development of coal and lignite reserves; run public sector units who monopolise coal output in India.

REALITY CHECK: India is projected to import about 44 million tonne of coal this year, despite the fact that the country is sitting on indicated reserves of a whopping 252 billion tonne and proven reserves of 95 billion tonne.

Thanks to the combined efforts of the ministry and the

public sector units, coal production has "improved" from 70 million tonne at the time of nationalisation in 1973 to 343.37 million tonne in 2005-06. In 2006-07, it has risen to 361 million tonne, an improvement of 5.2 per cent. India, incidentally, is among the foremost producers of coal, having begun mining as early as 1774. At the time of Independence, India's output was 30 million tonne. But that was due to private sector involvement.

Ironically the CIL Board sees opportunity in rising imports and has sent a proposal to form a wholly-owned subsidiary of CIL called Coal Videsh, a la ONGC Videsh, to invest abroad. In fact CIL officers visited Mozambique, Zimbabwe and South Africa to explore possibilities of acquiring stakes in operating mines and green-field coal blocks. Any attempt to

involve the private sector—beyond the concessions for captive use by private steel and power plants—has been repeatedly thwarted. A Bill to amend the Coal Mines (Nationalisation) Act to further open up the coal sector is pending in the Rajya Sabha from April 2000.

